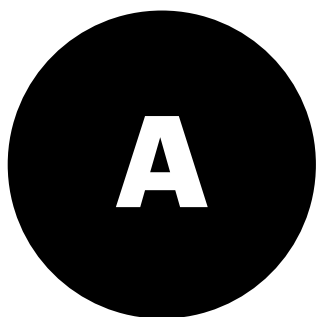




AS GLOBAL CRUDE oil prices plunge, the question that's being asked in India and around the world is whether this is a silver lining or a dark cloud? That's because US President Donald Trump's tariff announcements have dampened sentiment and heightened fears of an impending global recession.

For India, falling crude oil prices are typically a reason to cheer when it's business as usual. After all, India is the third-largest importer of crude oil after China and the US and a fall not only lowers its import bill, but also reduces inflation and the fiscal deficit, cuts the subsidy bill, makes exports more competitive and boosts overall economic growth. For consumers, it means that their fuel bills could possibly go down with a cut in retail prices.

But since the Indian economy is closely intertwined with global developments, can falling oil prices also become a liability?

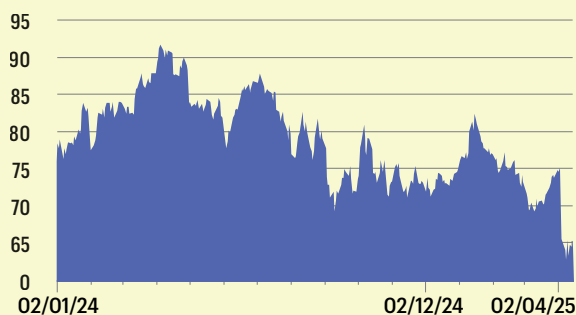
In the four months since Trump took over as the US President, business has been very far from usual. Almost daily announcements and reversals by the US on trade and tariff levies on countries across the globe have dampened sentiment, with equity, bond and currency markets on a roller-coaster ride, reflecting the volatility in the global economy. There are concerns that the tariff hikes could lead to lower demand for goods in the US and trigger an economic slowdown if not a full-fledged recession that would also affect economies across the world.

Global crude oil prices, too, have mirrored this uncertain outlook and have fallen in recent weeks to touch a four-year low after Trump's "reciprocal" tariff announcement on April 2. Some believe that crude oil prices could fall further in the coming weeks because of the trade war. Brent crude dipped below \$65 per barrel on April 4 and the West Texas Intermediate (WTI) has inched down to \$61 on April 10 before recovering.

Goldman Sachs expects Brent and WTI prices to

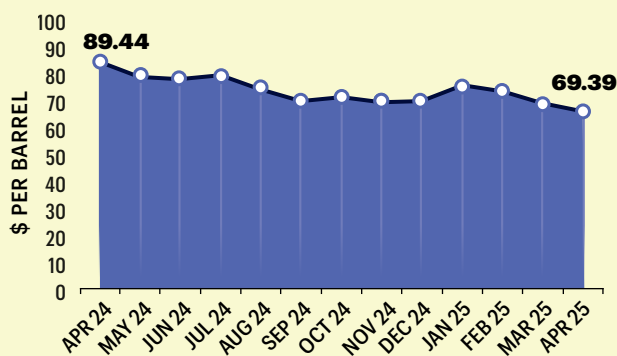
DOWNWARD SLIDE

- Global crude oil prices hit a four-year low this year
- India's average crude oil price has fallen by over 22%



NOTE BRENT OIL FUTURES PRICE IN \$

INDIAN BASKET OF CRUDE



SOURCE INVESTING.COM, PETROLEUM PLANNING AND ANALYSIS CELL

edge down and average around \$63 and \$59, respectively, for the remainder of 2025, and \$58 and \$55 in 2026. Its base case assumes that the US will avoid a recession, and the OPEC+ bloc's supply will rise only modestly. However, it has warned that a global slowdown or a full reversal of the 2.2 million barrels per day of voluntary cuts by OPEC+ would likely push Brent towards \$40 in 2026 and below that in an extreme scenario.

With the expectation of demand moderation, OPEC, in April, has cut its forecast for global oil demand for this year and the next by about 150,000 barrels a day. This year, it expects global oil demand to grow by 1.3 million barrels per day to 105.05 million barrels per day. Similarly, in 2026, it expects global oil demand to grow another 1.3 million barrels per day to 106.3 million barrels per day.